

Companies Accounting — Lecture 1

PART 1: Complete Comparison of Business Entity Forms & Partnership Lifecycle

Point 1: The Full Comparison Table — New Element: Ease of Financing

"Proprietorship: Ease to increase capital (finance) — Difficult. Partnership: Relatively easy from partners. Corporation: Very easy by issuing shares."

الشرح:

سهولة زيادة رأس المال (Ease of Financing):

Sole Proprietorship — صعب:

الشخص الواحد لو محتاج فلوس زيادة، لازم يجيب من جيبه هو بس أو يقترض — وده صعب وبيعتمد على ملاءته الشخصية فقط.

Partnership — سهل نسبياً:

ممكن تضيف شريك جديد يضح رأس مال جديد — أو الشركاء الموجودين يزودوا حصصهم. أسهل من المنشأة الفردية لأن فيه أكثر من مصدر.

Corporation — سهل جداً:

بتطرح أسهم جديدة (Issuing Shares) في البورصة أو لمستثمرين — ممكن تجمع ملايين في فترة قصيرة.
الترتيب من الأسهل للأصعب:

Corporation (Very Easy) > Partnership (Relatively Easy) > Proprietorship (Difficult)

 **Exam Trap:**

سؤال يبجي "إيه أسهل شكل لزيادة رأس المال؟" — الإجابة:

Corporation عن طريق Issuing Shares.

Point 2: The Complete Comparison Table

الشرح:

Feature	Sole Proprietorship	Partnership	Corporation
Ownership	One person — receives profit & suffers losses	2 or more persons — share profit & losses	Large number of shareholders — ownership divided into stocks
Management	Owner manages the business	General Partners manage the business	Shareholders elect Board of Directors
Ease of Financing	Difficult	Relatively easy from partners	Very easy by issuing shares
Life of Business	Limited by life of owner	Limited by life of owner	Unlimited unless liquidated (dissolved)
Liability	Unlimited	General: Unlimited / Limited: Limited	Limited
Capital Accounts	One account	One per partner	One account divided into shares

Point 3: The Three Lifecycle Stages of a Partnership

"Any partnership has three lifecycle stages as follows:"

"1- Beginning: Formation of the partnerships."

"2- Through the partnership life: includes some main events: Allocation of net income. Changes in profit and losses ratio. Admission of new partner. Separation of old partner."

"3- Ending: Liquidation of the partnership."

الشرح:

كل الشراكة بتمر بـ 3 مراحل:

المرحلة الأولى: Beginning — التأسيس (Formation):

ده اللي بندرسه دلوقتي — إزاي بنسجل تأسيس الشراكة محاسبياً. كل شريك بيحط حصته وبنسجل القيود والميزانية الافتتاحية.

المرحلة الثانية: Through the Partnership Life — خلال حياة الشراكة:

دي المرحلة الأطول والأكثر تعقيداً — وبتشمل:

- **Allocation of Net Income**
توزيع صافي الربح أو الخسارة على الشركاء (ده موضوع محاضرات قادمة)
- **Changes in Profit and Losses Ratio**
تغيير نسب توزيع الأرباح والخسائر (لو الشركاء اتفقوا على تغيير)
- **Admission of New Partner**
قبول شريك جديد في الشراكة
- **Separation of Old Partner**
انسحاب شريك قديم (بیتقاعد أو بيموت أو بيبيع حصته)

المرحلة الثالثة: Ending — التصفية (Liquidation):

إنهاء الشراكة وتوزيع الأصول على الشركاء والدائنين.

Point 4: True/False Questions — Analysis

"1) Any partner in the Limited partnership has unlimited responsibility toward unpaid debts of the company. False"

"2) In the general partnership, we may find that one partner can refuse to pay the liabilities related to the partnership from his personal assets, because its amount increases over his capital. False"

"3) Limited partnership contains only limited partners. False"

"4) In all different types of partnership, there is a General Partner. True"

"5) There is no difference between General Partner & Limited Partner. False"

الشرح:

خليني أشرح كل واحدة:

السؤال الأول:

"Any partner in the Limited partnership has unlimited responsibility." → FALSE

ليه؟ في الـ Limited Partnership فيه نوعين:

- الـ **General Partner** — عنده **Unlimited Responsibility**
- الـ **Limited Partner** — عنده **Limited Responsibility**

مش كل الشركاء عندهم Unlimited — بس الـ General Partner.

السؤال الثاني:

"In general partnership, a partner can refuse to pay from personal assets because the amount exceeds his capital." → FALSE

ده سؤال فخ ذكي جداً! الـ **Unlimited Responsibility** معناها إن مفيش سقف حتى لو الديون أكبر بكثير من حصته في رأس المال، مش ينفع يرفض. الدائن ممكن ياخد كل أمواله الشخصية.
مثال توضيحي:

شريك حصته \$10,000 في شركة عليها ديون \$500,000. في الـ General Partnership، ممكن يتطلب منه يدفع من ماله الشخصي حتى لو المبلغ أكبر بكثير من حصته!

السؤال الثالث:

"Limited partnership contains only limited partners." → FALSE

الـ Limited Partnership لازم يكون فيها على الأقل **General Partner** واحد. اللي فيها Limited Partners بس مش موجودة دي مش شراكة محدودة، دي تعريف غلط.

السؤال الرابع:

"In all different types of partnership, there is a General Partner." → TRUE

صح تماماً:

- الـ **General Partnership**: كلهم General Partners
- الـ **Limited Partnership**: لازم فيها على الأقل General Partner واحد

إذن في الحالتين — في الـ General Partner.

السؤال الخامس:

"There is no difference between General Partner & Limited Partner." → FALSE

الفرق واضح جداً — 3 فروق:

1. الإدارة (General مدير، لا Limited)
2. الاسم في عنوان الشركة (General ممكن، لا Limited)
3. المسؤولية (General غير محدودة، Limited محدودة)

Quiz — Part 1 🎯

Question 1:

Which form of business entity finds it MOST difficult to raise additional capital?

- A) Corporation
- B) Partnership
- C) Sole Proprietorship
- D) Limited Partnership

شرح الإجابة:

الإجابة الصح هي C.

ال Sole Proprietorship هي الأصعب في زيادة رأس المال لأن بتعتمد على شخص واحد بس. ال Corporation هي الأسهل عن طريق إصدار أسهم. ال Partnership في المنتصف سهل نسبياً. هتلاقيها في بوينت 1 ياشا

Question 2:

Which of the following events occurs DURING the partnership life (not at the beginning or end)?

- A) Signing the partnership agreement
- B) Recording partners' initial capital contributions
- C) Admission of a new partner
- D) Preparing the opening balance sheet

شرح السؤال: سؤال على دورة حياة الشراكة الثلاثة

شرح الإجابة: الإجابة الصح هي C.

قبول شريك جديد (Admission of a New Partner) بيحصل خلال حياة الشراكة.

Options A و B و D كلها من مرحلة ال Formation (البداية).

Question 3:

A general partnership has two partners (X and Y). The partnership owes \$800,000 to creditors but has only \$100,000 in assets. Partner X has personal assets worth \$300,000. Which statement is CORRECT?

- A) Creditors can only claim \$100,000 (the partnership assets)
- B) Creditors can claim from Partner X's personal assets to cover the remaining debt
- C) Creditors can only claim from Partner X's personal assets up to his capital contribution
- D) Partner X can refuse to pay because the debt exceeds his capital in the partnership

شرح الإجابة: الإجابة الصحيحة هي B.

في الـ General Partnership، الـ Unlimited Responsibility معناها الدائنين حقهم ياخذوا من الأموال الشخصية للشركاء ومفیش سقف.

Option C

غلط لأن المسؤولية مش محدودة بقدر رأس ماله.

Option D

غلط لأن ده بالظبط اللي بيقوله السؤال الثاني في الـ True/False وإجابته False.

Question 4:

According to the lecture, which of the following lifecycle stages of a partnership involves "Changes in profit and losses ratio"?

- A) Beginning — Formation
- B) Through the partnership life
- C) Ending — Liquidation
- D) It does not occur in any stage

شرح السؤال: سؤال على دورة حياة الشراكة وتحديدًا تصنيف الأحداث في المرحلة الثانية.

شرح الإجابة: الإجابة الصحيحة هي B.

تغيير نسب توزيع الأرباح والخسائر يحصل خلال حياة الشراكة مش في التأسيس ومش في التصفية.

الأحداث الأربعة في المرحلة الثانية هي: توزيع الأرباح، تغيير النسب، قبول شريك جديد، وانسحاب شريك قديم.

Question 5 (Essay):

Explain the three lifecycle stages of a partnership. For each stage, describe what happens and list all the events or activities that occur within it.

Model Answer:

Any partnership passes through three main lifecycle stages:

Stage 1: Beginning — Formation of the Partnership

This is the starting point of the partnership. At this stage, partners sign a written partnership agreement that outlines the name, location, activities, capital contributions, profit/loss ratios, and other key terms. Each partner then contributes their agreed share of capital (in cash or non-cash assets), journal entries are recorded, and an opening balance sheet is prepared.

Stage 2: Through the Partnership Life

This is the operational stage — the longest and most complex phase. It includes several key events:

- **Allocation of Net Income:** Distributing profits or losses among partners according to the agreed ratios at the end of each accounting period.
- **Changes in Profit and Losses Ratio:** If partners agree to modify how profits and losses are shared among them.
- **Admission of a New Partner:** When a new partner joins the existing partnership by contributing capital or purchasing an existing partner's share.
- **Separation of an Old Partner:** When an existing partner withdraws, retires, or passes away, requiring accounting adjustments.

Stage 3: Ending — Liquidation of the Partnership

This is the dissolution phase. The partnership converts its assets into cash, pays all creditors, and distributes any remaining funds to partners based on their capital balances. After liquidation, the partnership ceases to exist.

PART 2: Partnership Formation — Cash Contributions (Advanced Examples)

Point 5: Review — The Cash Contribution Journal Entry

"In this case the entry will be as follows: Cash xxx

Partner (name) Capital xxx"

الشرح:

القيد الأساسي لما الشريك يدفع كاش بسيط جداً:

Date	Accounts	Dr.	Cr.
3/1/2021	Cash	xxx	
	Partner (Name) Capital		xxx

منطق القيد:

- **Cash Dr.** — الكاش بيزيد (أصل بيزيد) دخل للشركة = Debit)
- **Capital Cr.** — رأس مال الشريك زاد (حقوق ملكية بتزيد) رأس مال الشريك زاد = Credit)

Point 6: Example 1 — Two Partners, Percentage Split (75% & 25%)

"On 1/1/2021 Partners (H & M) formed their partnership with Total Capital \$200,000 divided between them according to 75% to Partner (H) & 25% to Partner (M). Each partner paid his contribution in Cash at the formation date. Partner (H) paid his share on 3/1 and Partner (M) paid his share on 5/1."

الشرح:

ملاحظة مهمة قبل الحل:

الشركاء دفعوا في تواريخ مختلفة — H دفع في 3/1 و M دفع في 5/1. يعني قيديين منفصلين بتاريخين مختلفين.

الخطوة الأولى: احسب حصة كل شريك

$$\text{Partner H} = 200,000 \times 75\% = \$150,000$$

$$\text{Partner M} = 200,000 \times 25\% = \$50,000$$

الخطوة الثانية: القيود المحاسبية

قيد Partner H (تاريخ 3/1):

Date	Accounts	Dr.	Cr.
3/1/2021	Cash	150,000	
	Partner H Capital		150,000

قيد Partner M (تاريخ 5/1):

Date	Accounts	Dr.	Cr.
5/1/2021	Cash	50,000	
	Partner M Capital		50,000

الخطوة الثالثة: Opening Balance Sheet

Assets		Liabilities and O.E	
Cash	200,000	Partner H's Capital	150,000
		Partner M's Capital	50,000
Total Assets	200,000	Total Liabilities and O.E	200,000

⚠ Exam Trap:

لو الشركاء دفعوا في نفس اليوم → تقدر تعمل Compound Entry واحد.

لو دفعوا في أيام مختلفة → لازم قيدين منفصلين بتاريخين مختلفين. الفرق مهم في الامتحان

Point 7: Example 2 — Two Partners, Ratio Split (4:1)

"On 1/1/2021 Partners (A & B) formed their partnership with Total Capital \$300,000 divided between them at a ratio 4:1 respectively. Each partner paid his contribution in Cash. Partner (A) paid his share on 5/1 and Partner (B) paid his share on 7/1."

الشرح:

الخطوة الأولى: احسب حصة كل شريك من النسبة 4:1

Total parts = 4 + 1 = 5

Partner A = $300,000 \times \frac{4}{5} = \$240,000$

Partner B = $300,000 \times \frac{1}{5} = \$60,000$

تحقق: $300,000\$ = 60,000 + 240,000$ ✓

الخطوة الثانية: القيود المحاسبية

قيد Partner A (تاريخ 5/1):

Date	Accounts	Dr.	Cr.
5/1/2021	Cash	240,000	
	Partner A Capital		240,000

قيد Partner B (تاريخ 7/1):

Date	Accounts	Dr.	Cr.
7/1/2021	Cash	60,000	
	Partner B Capital		60,000

الخطوة الثالثة: Opening Balance Sheet

Assets		Liabilities and O.E	
Cash (240,000 + 60,000)	300,000	A's Capital	240,000
		B's Capital	60,000
Total Assets	300,000	Total Liabilities and O.E	300,000

Quiz — Part 2 🎯

Question 1:

On 1/1/2024, Partners X and Y formed a partnership with total capital of \$500,000 divided between them in a ratio of 3:2. Both paid in cash on the same day. What is Partner Y's capital contribution?

- A) \$300,000
- B) \$200,000
- C) \$150,000
- D) \$250,000

شرح الإجابة: الإجابة الصح هي B.

النسبة 3:2 يعني إجمالي 5 أجزاء.

$$Y = 500,000 \times 2/5 = \$200,000.$$

Option A

$$X (500,000 \times 3/5 = 300,000).$$

Option D

غلط لأن 250,000 هي نص المبلغ يعني لو قسمناه بالتساوي.

Question 2:

Partners A, B, and C formed a partnership with total capital of \$600,000 in a ratio of 2:1:3 respectively. What is the capital of each partner?

- A) A=\$200,000; B=\$100,000; C=\$300,000
- B) A=\$150,000; B=\$150,000; C=\$300,000
- C) A=\$200,000; B=\$200,000; C=\$200,000
- D) A=\$240,000; B=\$120,000; C=\$240,000

شرح الإجابة:

الإجابة الصح هي A.

النسبة 2:1:3 يعني إجمالي 6 أجزاء.

$$A = 600,000 \times 2/6 = 200,000.$$

$$B = 600,000 \times 1/6 = 100,000.$$

$$C = 600,000 \times 3/6 = 300,000.$$

$$200,000 + 100,000 + 300,000 = 600,000 \checkmark$$

Question 3:

On 5/1/2024 and 10/1/2024, Partners H and K respectively paid their cash contributions to a newly formed partnership with total capital \$400,000 split equally. What is the CORRECT way to record these contributions?

- A) One compound journal entry on 5/1 for \$400,000
- B) Two separate journal entries — one on 5/1 for \$200,000 and one on 10/1 for \$200,000
- C) One entry on 10/1 for \$400,000 (after both paid)
- D) Two entries both dated 1/1 (the formation date)

شرح الإجابة:

الإجابة الصح هي B.

لما الشركاء بيدفعوا في تواريخ مختلفة، لازم قيديين منفصلين بتاريخ كل دفعة.

Option A

غلط لأن Compound Entry بيتعمل بس لو دفعوا في نفس اليوم.

Option D

غلط لأن تاريخ القيد لازم يكون تاريخ الدفع الفعلي مش تاريخ التأسيس.

Question 4:

What is the CORRECT opening balance sheet for a partnership where Partner X contributed \$180,000 cash and Partner Y contributed \$120,000 cash?

- A) Assets: Cash \$300,000 / Equity: X Capital \$150,000; Y Capital \$150,000
- B) Assets: Cash \$300,000 / Equity: X Capital \$180,000; Y Capital \$120,000
- C) Assets: Cash \$180,000 / Equity: X Capital \$180,000
- D) Assets: Cash \$300,000 / Equity: Partnership Capital \$300,000

شرح الإجابة: الإجابة الصح هي B.

الكاش الإجمالي = 120,000 + 180,000 = 300,000\$.

وكل شريك عنده حساب رأس مال منفصل بقيمة حصته بالظبط.

Option A

غلط لأن بيقسم بالتساوي مش بالحصص الفعلية.

Option D

غلط لأن الشراكة مش عندها حساب رأس مال واحد — ده خاص بال Corporation.

Question 5 (Essay):

What is a Partnership Agreement? List the main items that must be included in it. Then explain the three lifecycle stages of a partnership with all events in each stage.

Model Answer:

Partnership Agreement:

A Partnership Agreement is a written contract signed between partners at the formation of the partnership. It serves as the legal and operational foundation of the business relationship. It must include the following items:

1. Name of the company
2. Activity (business) of the company
3. Location of the company
4. Name and address of each partner
5. Rights, duties, and obligations of each partner
6. Investment of each partner (capital contribution and method of providing it)
7. Ratio for distributing profit and losses
8. Management of the company
9. Procedures for liquidation of the company

The Three Lifecycle Stages:

Stage 1 — Beginning: Formation

The partnership is established. Partners sign the agreement, contribute their capital (in cash or non-cash assets), journal entries are recorded, and an opening balance sheet is prepared.

Stage 2 — Through the Partnership Life:

This operational stage includes four key events:

- **Allocation of Net Income:** Profits or losses are distributed to partners per their agreed ratios.
- **Changes in Profit and Losses Ratio:** Partners may agree to revise how they share results.
- **Admission of a New Partner:** A new partner joins by contributing capital.
- **Separation of an Old Partner:** An existing partner withdraws, retires, or passes away.

Stage 3 — Ending: Liquidation

The partnership is dissolved. Assets are converted to cash, creditors are paid first, and remaining funds are distributed to partners based on their capital balances.